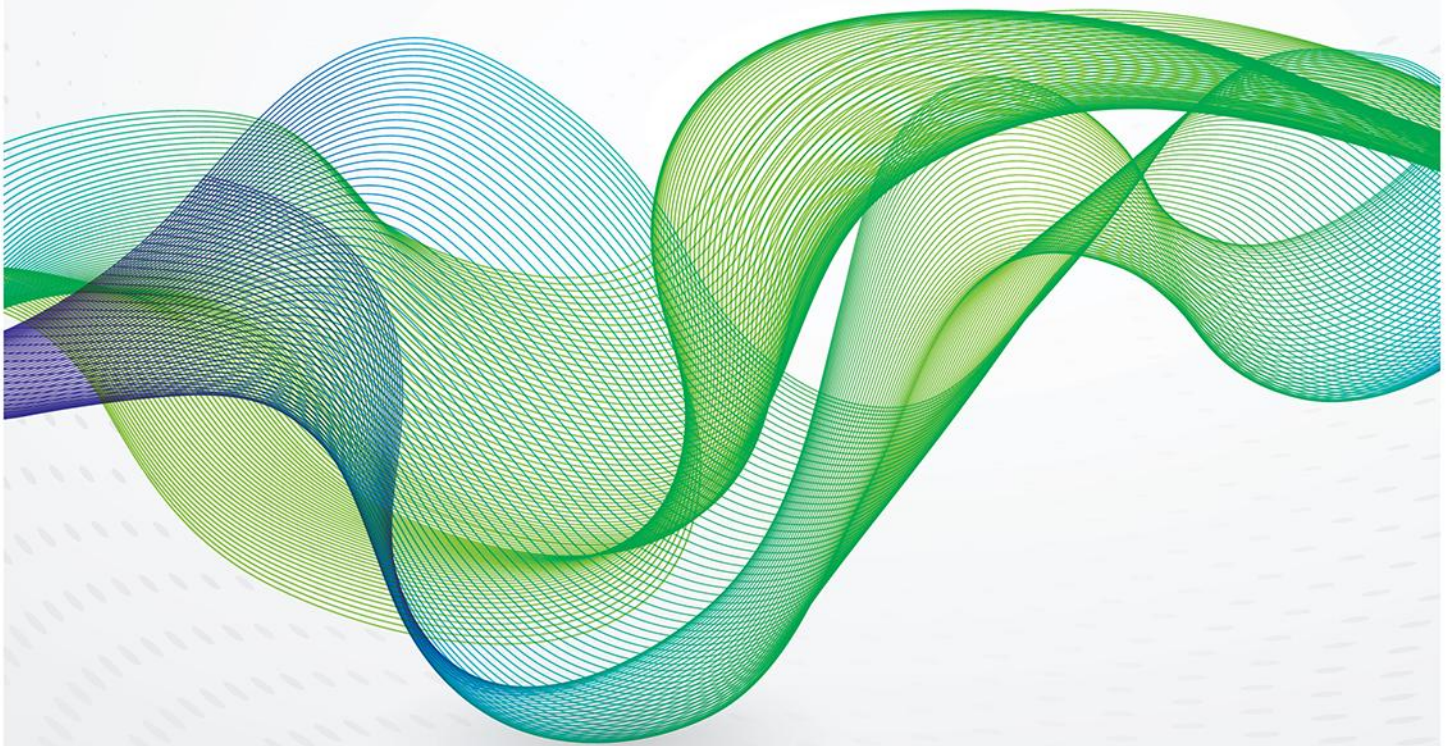
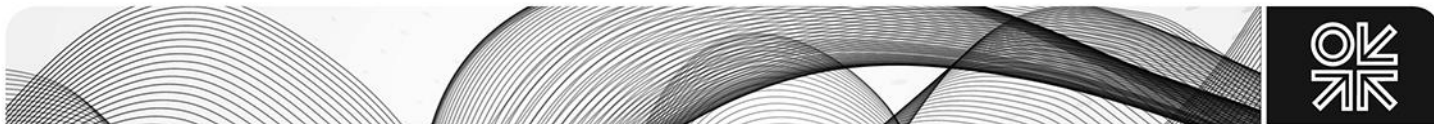


March 2026

China new energy vehicle (NEV) update: a slowdown and shift to battery-electric vehicles (BEVs)





1. Summary and key questions

China's electric vehicle (EV) adoption trend has undergone some important shifts in the past year, including a significant slowdown towards the end of 2025. This paper seeks to answer several questions. First, what is driving the shift towards Battery Electric Vehicles (BEVs) and the slowdown in overall New Energy Vehicle (NEV) adoption, and what can we expect in 2026 and 2027? Second, how are the present trends influencing China's vehicle stock?*

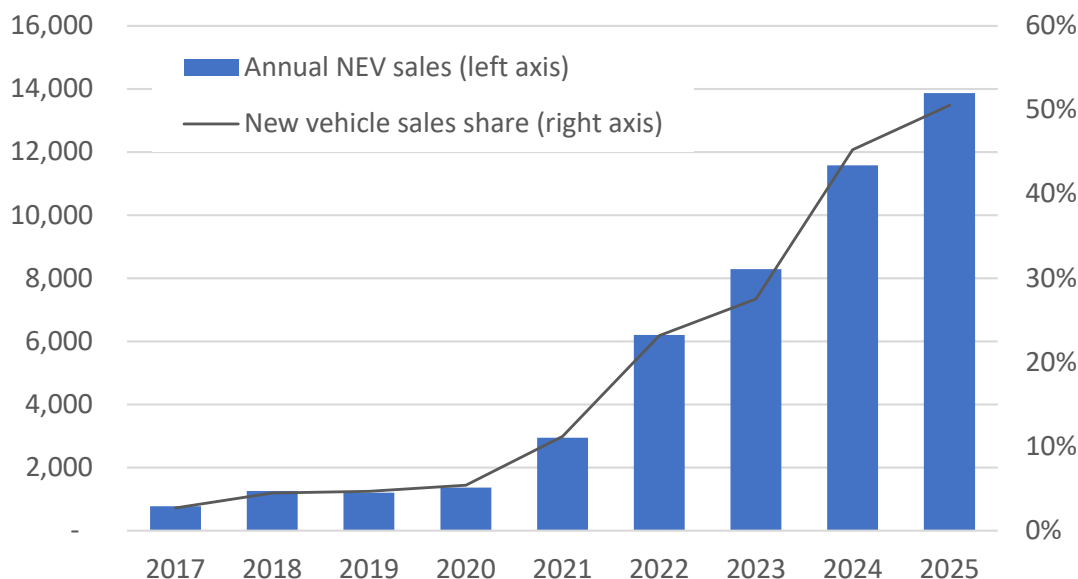
Broadly, the paper finds that China's rapid adoption of passenger EVs continues, with a slowdown in the adoption of plug-in hybrid electric vehicles (PHEVs). Given present policies favouring battery-electric vehicles (BEVs) over PHEVs, and rising battery production, the shift towards BEVs appears likely to continue for passenger vehicles.

Background and overview

China's overall new energy vehicle (NEV)[†] market continued to grow, but at a slower rate. China's total NEV sales (including exports) rose by over 3 million vehicles, to 16 million, up from 13 million in 2024.¹ NEV exports doubled from 1.3 million in 2024 to 2.6 million in 2025.² Exports are increasingly supporting the industry's continued growth, and their share of China's total NEV production is now nearly one out of six, compared to one in ten the year before.

Domestic NEV sales growth slowed modestly. Nevertheless, sales have risen by at least 1.5 million per year since 2020, reaching a 51 per cent share in 2025 (53 per cent for passenger cars). For 2026, domestic NEV sales growth is expected to slow further, with sales penetration reaching between 55 and 60 per cent.

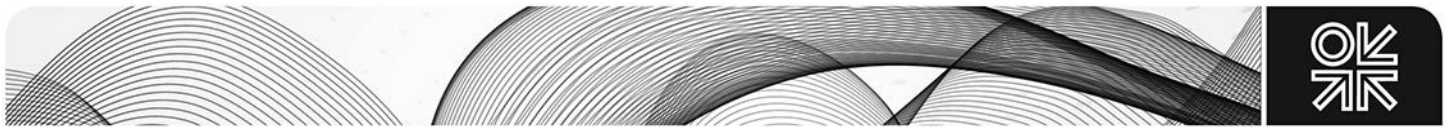
Figure 1: China domestic NEV sales (thousands) and total vehicle market share, 2017-2025



Source: OIES 2026, based on China Association of Automobile Manufacturers (CAAM) annual data

* Note: this paper discusses general developments but does not present a full revision to the more detailed projections in Anders Hove, 'Rising new energy vehicle sales in China: falling gasoline demand, rising uncertainty', Oxford Institute for Energy Studies, April 2025, at <https://www.oxfordenergy.org/publications/rising-new-energy-vehicle-sales-in-china-falling-gasoline-demand-rising-uncertainty/>.

[†] The phrase New Energy Vehicle (NEV) in China refers to battery-electric vehicles (BEVs), plug-in hybrid electric vehicles (PHEVs), including extended range electric vehicles (EREVs), and fuel-cell vehicles. Conventional hybrid vehicles without a plug are not included in the NEV category.



Plug-in hybrid electric vehicles are now losing share versus battery electric vehicles.

PHEV sales rose modestly on an annual basis, but began declining mid-year, while BEVs picked up the slack. The PHEV share in total domestic NEV sales fell from 42 per cent in 2024 to 35 per cent in 2025. Attractive long-range BEV options and policy signals that PHEVs are no longer a target for support appear to have shifted consumer buying and carmaker product offerings.

NEV share in vehicle stock is starting to accelerate.

Given China's low ownership rate of personal vehicles compared to the United States (US), and the rapid growth in new vehicle sales since 2000, rising NEV sales have had only a muted impact on the growth of conventional internal combustion engine (ICE) vehicle stock. Many vehicles are relatively new, and annual vehicle retirements suggest a low turnover.[‡] In 2025, however, ICE vehicle stock grew at a far slower rate than in recent years, suggesting retirements are picking up as the fleet ages.

Slower NEV growth has a modest impact on gasoline projections.

Depending on vehicle lifetime and other assumptions, the rising NEV share of new vehicle sales takes time to dent gasoline consumption. Significant declines in gasoline consumption may begin to show towards the late 2020s and accelerate in the early 2030s. Higher uptake of BEVs compared to PHEVs has only a slight impact on projected gasoline demand. For now, the base case developed in 2025 continues to assume domestic NEV sales rise at 1.5 million per year, but this may need to be adjusted downwards depending on how the market develops in 2026.

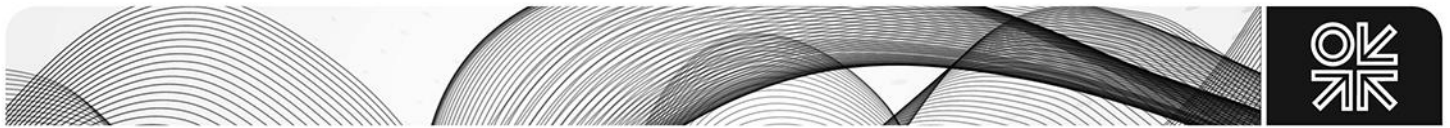
2. Passenger EV boom starts to slow

NEV sales had another strong year in 2025, although growth moderated significantly, especially in the last few months. For passenger cars, NEV penetration was 53 per cent for the full year, ending the year at a monthly penetration rate of 59 per cent, versus 53 per cent in December 2024. The China Passenger Car Association (CPCA) reports that 12.8 million NEVs were sold domestically in 2024, versus 10.9 million in 2024, representing growth of 17.6 per cent year-on-year.³ The China Association of Auto Manufacturers (CAAM) reports a total of 13.9 million NEVs were sold domestically (including commercial vehicles and buses) and a further 2.6 million were exported.⁴ Monthly passenger NEV sales flattened at the end of the year and declined significantly in January 2026 after a change in subsidies.

In the passenger car segment, a shift away from PHEVs was the most notable market development of 2025. For the last several years, PHEV sales (including extended-range EVs, or EREVs) have led growth in NEV sales, rising between 60 to 80 per cent annually, compared to battery electric vehicles, which showed more tepid growth. PHEVs had seen strong interest as their electric range increased and because PHEVs were better suited to larger vehicles like SUVs. This trend has reversed since the start of 2025, with BEVs accounting for nearly all the growth while PHEV sales grew more slowly. Starting in September, passenger PHEV sales began to show monthly sales declines. Within the PHEV segment, extended range EVs (EREVs) also showed slower growth. The change appears to relate to a combination of factors: falling battery prices and new BEV models have made such vehicles more attractive in larger vehicle segments, low fuel costs and expanded charging infrastructure boosts the attraction of BEVs versus PHEVs, and declining subsidies for PHEVs relative to BEVs has also encouraged carmakers to put less emphasis on PHEV sales.

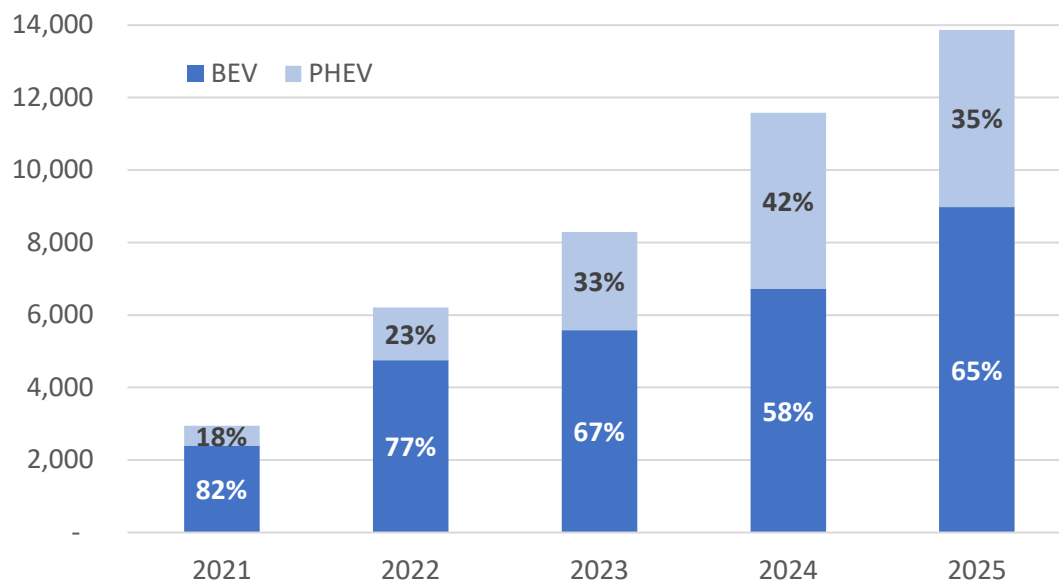
Overall, the CPCA figures for passenger vehicles in 2025 showed BEV sales up 24.4 per cent, PHEVs 8.8 per cent, and EREVs 6 per cent. The BEV share of NEV sales ticked up from 58 per cent to 61.5 per cent, for a 33 per cent BEV penetration of all new passenger vehicle sales.⁵ Of overall domestic NEV sales

[‡] For example, in 2023 there were light-duty vehicle sales of 23 million, and the car stock rose by 17 million, implying only 5 per cent of the 2022 vehicle stock was replaced. However, the number of vehicles replaced in 2023 was roughly equivalent to the total annual car sales in 2007, 15 years before.



(passenger cars, trucks, buses), CAAM reports that the BEV share rose from 58 per cent in 2024 to 65 per cent in 2025, reflecting both passenger car numbers as well as an increase in BEV truck sales. The decline in PHEV and EREV sales for several months in a row at the end of 2025 suggests the trend may accelerate in 2026, especially as government policy has shifted towards only supporting the longest all-electric-range PHEVs (discussed further below).

Figure 2: China domestic NEV sales by BEV and PHEV, 2020-2025, in thousands and market share



Source: OIES, 2026, based on CAAM annual data

Note: PHEVs inclusive of EREVs

Vehicle size is an obvious consideration for future expansion of NEV market share. In the early years of China's NEV market, before 2021, sales exhibited a 'barbell' pattern – lots of low-cost and low-range city cars and some high-end sedans and sports cars at the top end. The gap in the middle of this barbell began to fill in rapidly between 2020 and 2022. Now the majority of NEV sales are classified as SUVs or mid-sized sedans, and prices are competitive with those of comparable ICE vehicles. Based on total Chinese passenger vehicle sales (including exports), ICE vehicle sales continued to grow in the B (compact-mid sized cars) and C segments (larger mid-size-executive cars) through 2023, but this has now reversed. Notably, NEVs hold a 59 per cent penetration of total B and C segment sales (including exports), whereas ICE vehicles still account for the majority (65 per cent) of A segment vehicles (small cars). Though a domestic segment breakdown is not yet available, a key point from this trend is that vehicle size does not appear to represent a constraint for future NEV sales growth.

The following figure displays trends for each vehicle category, showing ICE vehicles on the left and NEVs on the right. The official Chinese vehicle categories refer to either sedans or SUVs and may be summarized as follows:

- A00, mini cars: typical length under 3.7 metres, wheelbase usually under 2,450 mm.
- A0, small cars: typical length: 3.7–4.3 metres, wheelbase: 2,450–2,600 mm.
- A, compact cars: typical length: 4.3–4.7 metres, wheelbase: 2,600–2,750 mm.
- B, mid-sized cars: typical length: 4.7–5.0 metres, wheelbase: 2,750–2,900 mm.
- C, large cars: typical length: 5.0 metres and above, wheelbase: 2,900 mm and above.

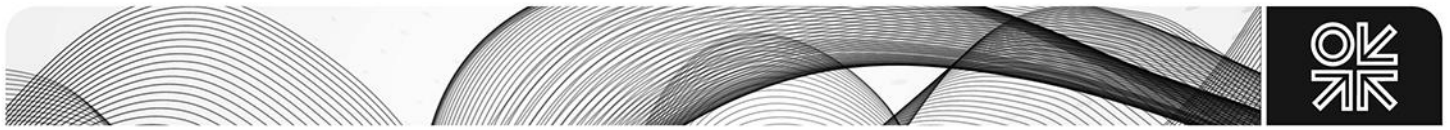
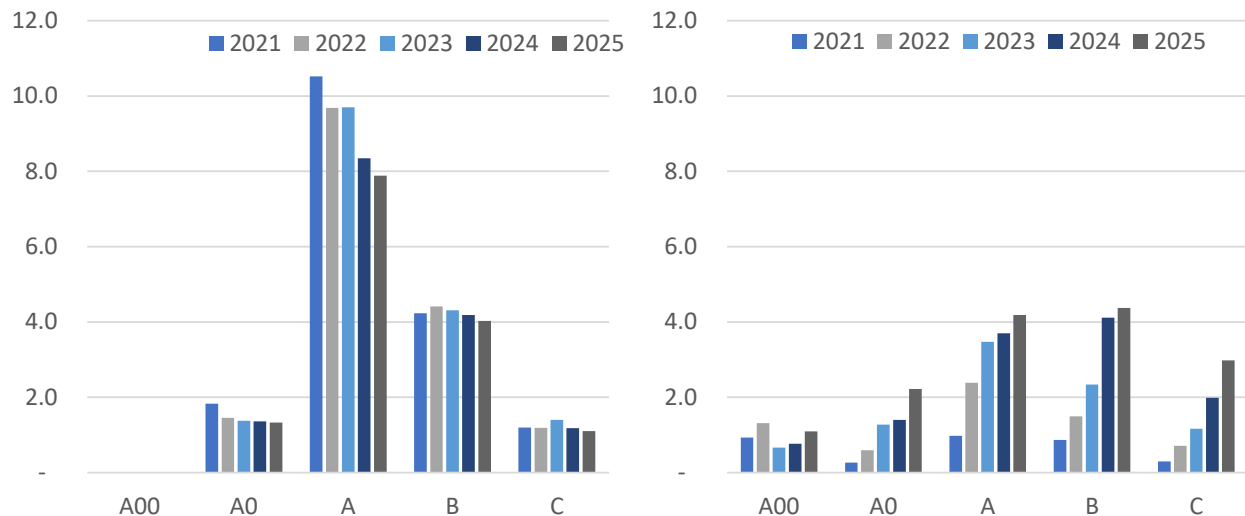


Figure 3: Total passenger vehicle sales (left: ICE vehicles, right: NEVs) by size segment, 2021 to 2025, millions

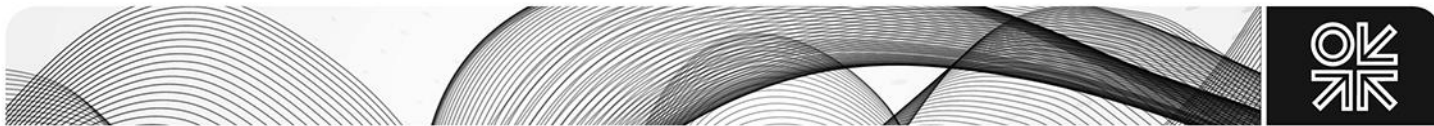


Source: OIES 2026, based on CAAM data

2026 NEV sales growth depends partly on vehicle production plans of major carmakers, and there is a divergence between announced production plans versus industry forecasts. Major NEV brands have made major plans for expanding output, with targets for growth of between 15 and 70 per cent depending on the company. Of eight large NEV brands[§] reviewed by Car News China, the aggregate sales target for 2026 is 2.5 million units above these companies' 2025 sales figures.⁶ Although not all these targets will be achieved, and many vehicles will be exported, this figure does not even include the plans of BYD, BAIC, SAIC, GAC, or any of the other traditional Chinese or international automakers. Exporting all incremental NEV production could imply at least doubling NEV exports for the second year in a row – which is not the current expectation of the CAAM, which tracks both domestic sales and exports.⁷

Industry forecasts are far more cautious. Industry experts have forecasted NEV sales to rise 10 per cent in 2026, suggesting a full-year passenger vehicle market share of 58 per cent.⁸ The influential industry association EV100 has predicted that total NEV sales (including exports) will top 20 million (versus 16.4 million in 2025), and the NEV share of vehicles on the road will top 15 per cent in 2026, compared to 10 per cent in mid-2025.⁹ This might suggest around 17 million in domestic EV sales for the year, an increase of 25 to 30 per cent. On the low end, a UBS report suggests that total vehicle sales will decline in 2026 and the NEV share will stagnate at around 53 to 55 per cent.¹⁰ CITIC expects that domestic sales for the full year will reach 17.5 million, and sales share will roughly match the present monthly figures at around 55 per cent.¹¹ Industry forecasts have tended to be cautious in recent years (possibly because these associations are quasi-governmental organizations, and thus might want to avoid issuing a forecast that could sound like a soft policy target). No China NEV forecast has accurately anticipated the steady rapid increase in total NEV production and domestic NEV sales in the last several years. Still, a reasonable mid-range expectation is between 55 per cent and 60 per cent NEV market share for passenger NEVs.

[§] Geely, Changan, Dongfeng, Chery, Great Wall, Leapmotor, Xiaomi, Nio, Xpeng.



3. Policy focus is on markets, tweaking existing incentives

Aside from specific subsidy policy design, the overall policy is also undergoing a gradual change towards letting the market lead NEV sales. Government targets have taken a back seat to subsidy policies, and those subsidies have been scaled back step-by-step. An earlier points system for ensuring automakers introduced EVs into their fleets – known as the NEV mandate – is being revised and has the potential to spur NEV performance improvements.

High-level policy targets now play a limited role in guiding the NEV sector, and the government has hardly updated its modest long-term targets for NEVs. In late 2023, the government issued a sector roadmap that calls for NEVs to reach 85 per cent penetration of new sales by 2040.¹² This appears to be an update of an industry roadmap released in 2023 that called for NEVs to reach a 65 per cent share by 2035.¹³ Both targets seem underwhelming given the present growth rate in NEV market share. Even China's Nationally Determined Contribution (NDC) submission, which could have set an ambitious NEV target for an easy 'green diplomacy' win, merely mentioned that NEVs should be 'mainstream' by 2035. This was a surprising choice of words (drawn from an existing policy document from earlier in 2025), given that NEVs already account for more than half of domestic vehicle sales and are ubiquitous in large Chinese cities. Policy makers may have declined to introduce aggressive policy targets to avoid stimulating additional investment that could worsen overcapacity.

EV purchase incentives will continue but in reduced form. China's old vehicle trade-in subsidy policy will continue but is now narrowed and no longer applicable to short-EV-range PHEVs and the smallest EVs. This may reduce overall growth but should help consolidate the position of BEVs, since most BEVs will continue to qualify while many short-range PHEVs will not. In addition, the trade-in and scrappage policy will shift from a flat amount to a percentage of the purchase price, effectively reducing the incentive for smaller vehicles.¹⁴

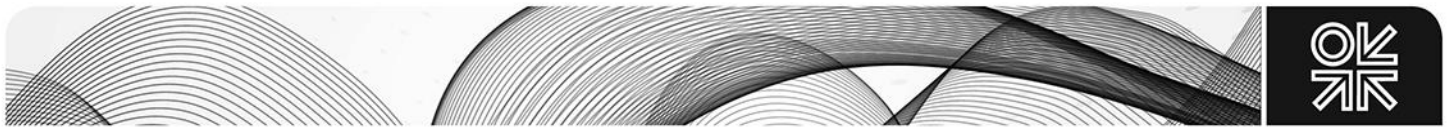
Qualifying NEVs (including BEVs and PHEVs) will continue to benefit from lower excise taxes, but the rate will rise from 0 per cent previously to 5 per cent in 2026. In addition, the prospects for both the trade-in policy and tax policy reaching their conclusion in the middle of 2026 may stimulate buying this year. The vehicle trade-in policy has been an especially important driver of new car sales, responsible for at least 11 million trade-ins in 2025.¹⁵

The re-emergence of the NEV mandate is a wild card for this year. China's original NEV mandate was adopted in 2019 with annual targets through 2025. Like the California Zero-Emissions Vehicle (ZEV) mandate it was modelled on, the NEV mandate provided an overall, points-based NEV fleet target for all manufacturers, and offered extra points and discounted points depending on vehicle characteristics. Because domestic carmakers quickly exceeded the NEV targets, the mandate has been barely mentioned in recent years, even after receiving an update in 2023 that discounted points awarded for low-range BEVs and some PHEVs.

Starting in 2026 and 2027, an updated policy will attempt to address the prior low targets and resulting 'oversupply' of points under the prior mandate. BEVs with a range of under 150 km will receive no points, and those over 150 km will have their points proportionally discounted up to 588 km in range under the Chinese range standard.^{**} PHEVs that meet range and overall fuel efficiency requirements will be discounted by 0.5 points. Bonus credits will be awarded for vehicles that show lower range loss in cold temperatures.¹⁶

It is unclear whether the NEV mandate adjustment will result in an actual shortage of points – in other words, whether the target for 2026 and 2027 will constrain carmakers to sell more NEVs domestically than they would have done without the NEV mandate. This depends on how quickly domestic sales would have

^{**} Based on the Worldwide Harmonized Light Vehicles Test Cycle (WLTC).



grown otherwise, and what types of vehicles would have otherwise been produced for local markets. However, the policy sends a clear signal pushing carmakers towards longer-range BEVs and better battery performance, and away from low-range PHEVs.

China's campaign against 'involution' (harmful competition) also has implications for the NEV sector. The car industry, and particularly NEVs, are viewed as having significant overcapacity, beyond what domestic or international markets can absorb. Overcapacity has led to unhealthy trends such as companies seeing increasing sales volumes but lower revenue and falling profits. China's auto industry net profits are only 4.5 per cent of sales revenue, versus the average Chinese downstream industrial profit of 6 per cent. NEV manufacturing utilization is estimated at 60 per cent, far below international levels of 75 per cent.¹⁷ Automaker profit margins at the end of the year were particularly weak, just 1.8 per cent in December 2025.¹⁸

China's policy on combatting involution in the EV sector has several different focuses – some more specific than others. The most concrete measures relate to ensuring the industry's rush to cut prices doesn't hurt quality or competitiveness. In this regard, the government introduced requirements for prompt supplier payments, especially to small-and-medium enterprises, and prohibition against tying supplier payments to revenue or financing.¹⁹ Policies also prohibit selling below cost, price collusion, or hidden fees. At the more general level, policy makers are promoting the 'orderly exit' of unprofitable firms and urging carmakers to focus less on rapid scale up, avoid copycat product strategies or 'trading price for market share', and instead emphasize improving product quality, especially in digital interfaces and self-driving capabilities.²⁰

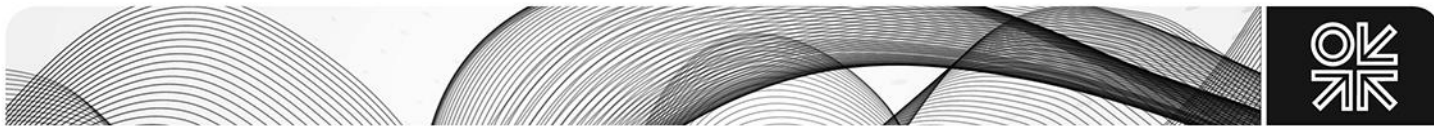
Unlike past policies aimed at addressing overcapacity, such as for steel and cement, central government efforts to guide the NEV space are hampered by the dominance of private companies (often startups) in the car manufacturing field, by the tacit or explicit support they receive from local governments, and by the sheer number of firms involved in the automotive and battery sectors.

The government has a difficult balancing act on involution given that policy makers view NEVs, batteries, and the auto sector overall as key elements of modernization during the 15th Five-Year Plan (FYP) (2026-2030).²¹ Promoting 'green consumption', including NEVs, has been announced as a theme for the FYP. This implies a cautious mixture of policies – removing state support and avoiding ambitious policy targets that lead to industry overheating on one hand, while not stifling growth on the other. As more countries scale up NEV and battery production, policy makers are also keen to ensure China retains its competitive lead, implying ongoing support for NEV technology. After all, domestic deployment underpins China's technology leadership in batteries and NEVs.

4. Economics determine future NEV growth: batteries, NEV prices, charging

Battery prices, performance and production have been critical enabling factors for the recent growth of EV sales and will remain central for determining whether the EV share can continue to rise, especially as trade-in subsidies and other policies are gradually scaled down. China battery prices last year alone fell from \$94/kWh in 2024 to \$84/kWh in 2025, according to Bloomberg New Energy Finance (BNEF) estimates.²² Although battery price declines and performance improvements have been so inexorable they may seem certain to continue, recent surging prices for lithium and other materials may raise questions about the sustainability of improvement, at least for the near-term 6-12 months. Indeed, selling prices for NEVs in China increased towards the end of 2025, even as profits continued to decline, indicating rising input costs (and possible impacts of the anti-involution policy).²³ However, NEV average selling prices declined on a full-year basis by over 10 per cent.²⁴

At the same time, China's battery manufacturing capacity continues to expand rapidly, led by industry leaders CATL and BYD. In 2025 China produced 1100 GWh of batteries, of which 260 GWh were for energy storage applications and 826 GWh went for power batteries used in vehicles. Official battery industry forecasts for 2026 suggest that overall output will rise to 1500 GWh, of which over 550 GWh will be for energy storage applications and the remaining 1000 GWh for power batteries.²⁵



China battery manufacturing industry utilization rates in 2025 were around 50 per cent, so there is ample room for an upside to production. Meanwhile, China's battery manufacturing capacity continues to grow despite introduction of various capacity rules and pricing constraints aimed at combatting involution.²⁶

Much of the increase in Chinese battery production is focused on lithium-iron-phosphate (LFP) batteries, which have shown the greatest cost declines and performance improvement. LFP has supplanted the previous dominant battery chemistry, lithium-ion nickel-manganese-cobalt (NMC) in China's domestic NEV market. LFP batteries have also helped ameliorate the global supply crunch for cobalt, nickel and manganese – enabling China's NEV scale-up to happen far faster than otherwise.

This story could repeat as new technologies such as sodium-ion and semi-solid-state batteries begin to scale up, in turn loosening the supply-demand balance for LFP battery production, where lithium supplies are the limiting factor. Sodium-ion batteries were initially seen as applicable mainly to utility-scale energy storage projects, but the technology is now being applied in EVs. Sodium-ion batteries have better cold-weather performance, a major issue in North China. As noted above, cold-weather performance is now included in the points system in China's NEV mandate – likely with sodium-ion batteries in mind. CATL and BYD are both scaling up production of sodium-ion batteries,²⁷ although China's commercial production capacity is less than a tenth that of lithium-ion. Several NEV brands, such as Changan, GAC, and JAC, plan to introduce or have already introduced models with sodium-ion batteries aimed at customers in colder climate regions.²⁸

New battery standards introduced in late 2025 may have the effect of weeding out some smaller battery makers while also strengthening the remaining manufacturers, giving 'King CATL'†† more competition.²⁹ In turn, more competition among the leading battery manufacturers will likely intensify price competition. Perhaps in anticipation of more pricing pressure from such competitors, CATL is working to drive down its own materials costs, signing a major contract with supplier Ronbay, which claims to have substantially reduced processing energy usage and improved the performance of LFP materials.³⁰

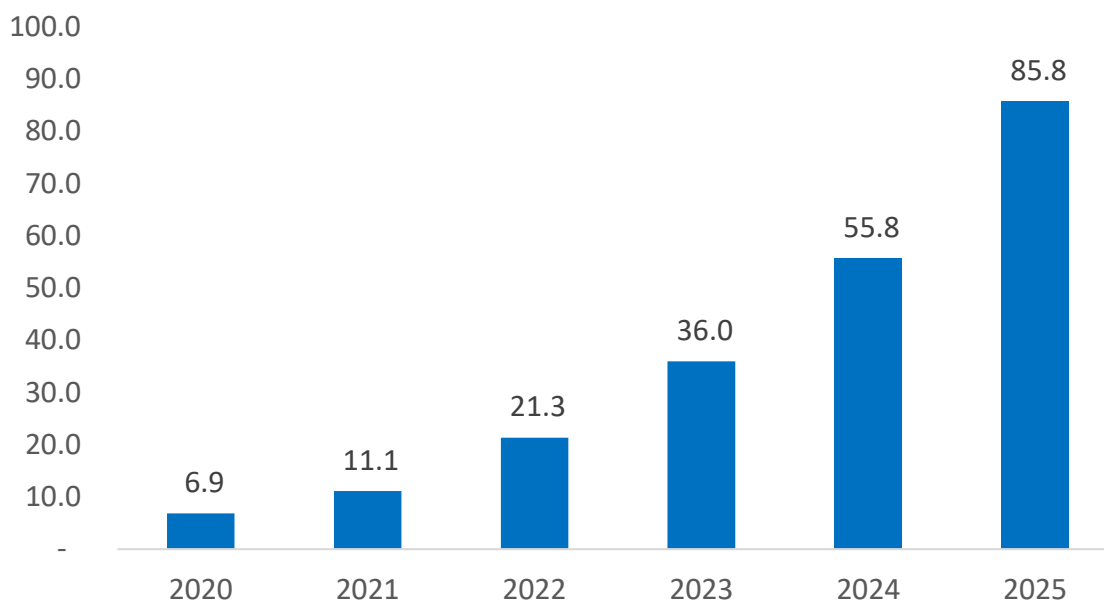
One ongoing aspect of EV adoption in China is the relatively low price and convenience of EV charging. Charging infrastructure is widely available and has expanded steadily for years. Many provinces place limits on the service fees for charging, so the main cost is for electricity delivered.³¹ Both residential users and public charging typically offer prices based on time-of-use electricity rates, enabling the most cost-conscious users to benefit from extremely low off-peak rates. In Shandong province, the residential off-peak EV charging rate is RMB 0.22/kWh, compared to the peak rate of RMB 0.89/kWh (US\$ 0.03—0.12/kWh).³² For public charging at a DC fast charger, rates range from RMB 0.40/kWh for off-peak to RMB 1.5/kWh for peak charging (US\$ 0.14—0.44/kWh).³³ The midpoint of this range is substantially below the public charging price average in most European countries.³⁴ (However, in urban areas, there may be parking fees or overtime charges in addition to the charging cost.) Based on fuel cost alone, and even assuming only public charging, EV operating costs are estimated at roughly half the cost of a similar gasoline car in 2025.³⁵ However, there are substantial differences across provinces, and battery swapping costs more than public charging.³⁶

Charging has a clear cost advantage for most NEV owners, so perhaps it is unsurprising that charging has risen faster than NEV adoption. Based on data from the Electric Vehicle Charging Infrastructure Promotion Alliance (EVCIPA), electricity consumption from public chargers rose 54 per cent in 2025, similar to 2024 and above the 41 per cent growth NEV stock. (This may partly reflect the impact of NEV trucks, which saw a burst of growth in 2025. The topic of NEV heavy trucks is beyond the scope of this paper and will be discussed in a separate publication.) Based on the total NEV stock at the end of 2025 (44 million) and the monthly public charging consumption of 9 billion kWh, the average NEV (including PHEVs) used sufficient for over 1,070 km of range,‡ slightly higher than previous years. Again, the higher growth possibly reflects the addition of some truck charging.

†† The phrase is from Chinese, 宁王.

‡ Assumes 191 Wh/km.

Figure 4: Public EV charging electricity consumption, TWh, 2020 to 2025



Source: OIES 2026, EVCIPA data

As the NEV market matures, continued growth depends on prices for batteries and vehicles, performance characteristics, and the economics of charging. Of these, charging economics is likely to remain favourable. Performance looks set to improve as new chemistry comes to market, and as policy makers raise standards and incentives related to battery and vehicle characteristics. Pricing for batteries and vehicles is harder to foresee given recent increases in materials prices, a policy push for longer-range NEVs, and the ongoing campaign against involution. Chinese battery makers remain at the leading edge of technology in the field, and have proven adept at locking in material supplies, scaling up alternative chemistries, and eking out processing efficiencies and performance improvements to keep raw material input prices from driving total cost. Nevertheless, uncertainty on vehicle pricing could contribute to a further slowdown in growth in 2026.

5. Vehicle stock changes

The size of the ICE vehicle fleet is a major factor in future gasoline forecasts. As noted above, China's soaring NEV sales so far have not dented the overall size of the ICE vehicle fleet. At the end of 2025, China reports that the total vehicle stock (ICE vehicles and NEVs) rose to around 366 million, versus 352 million at the end of 2024, an increase of 14 million.³⁷ This represented lower growth in overall vehicle stock versus previous years. From 2023 to 2024, vehicle stock rose by nearly 16 million, on annual domestic vehicle sales of 25.5 million, implying only just over one-third of new vehicles replaced an older vehicle.³⁸

Hence, until recently, ICE vehicle stock has continued to rise even as NEV sales approached and passed the halfway mark of new sales. However, this appears to have reached an inflexion point in 2025, as total ICE vehicle stock rose from 321 million in 2024 to 322 million at the end of 1H 2025. In the second half of 2025, the total ICE vehicle stock remained unchanged at that level. The NEV share of total vehicle stock rose from 8 per cent at the end of 2024 to 12 per cent at the end of 2025, reaching 44 million vehicles.

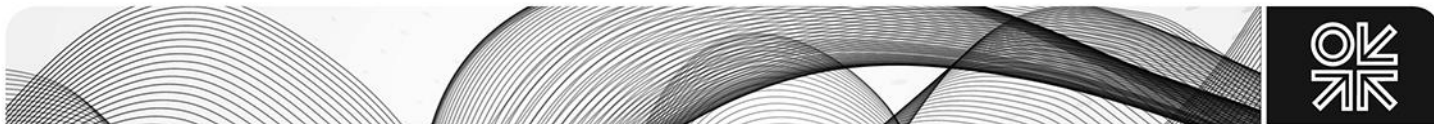
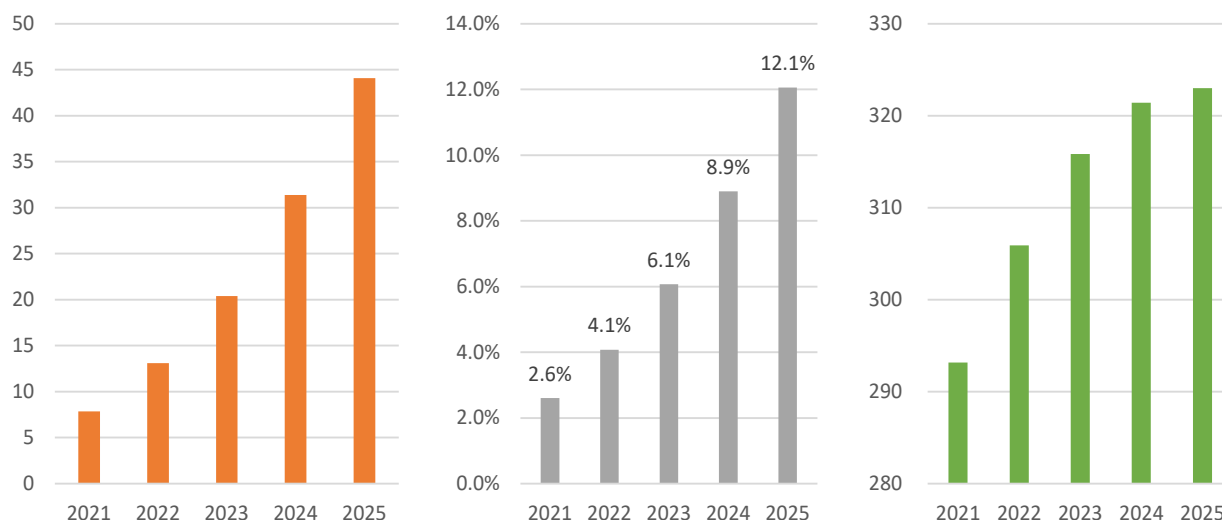


Figure 5: China NEV stock (million), share of total vehicle stock (%), ICE vehicle stock (million), 2020 to 2025



Source: OIES 2026, based on Public Security Bureau (PSB) data and author calculations

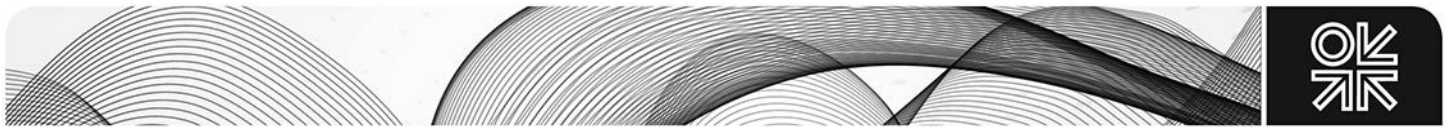
Replacements of old vehicles will likely reflect the past growth in domestic vehicle sales. Annual domestic light-duty car sales rose rapidly from around 5 million in 2005 to 20 million in 2015. However, since 2015 sales have fluctuated between 19 million and 23 million. Hence, if annual vehicle sales grow at rates similar to recent years, a larger fraction of new vehicles will replace retiring vehicles through the early 2030s.

6. Conclusions

China's domestic NEV market is clearly undergoing a significant transition, shifting from hockey-stick growth to stable or even slowing growth. Continued growth in NEV sales will be supported by several factors, including battery innovation, improved vehicle performance (longer range, better cold weather performance, faster charging), ongoing scale-up from major EV manufacturers, and the compelling economics and overall value proposition of NEVs versus conventional cars. On the other hand, the anti-involution campaign and higher material input prices are likely to contribute to slowing or reversal of price declines. Some large NEV manufacturers will likely see falling domestic sales, a trend already affecting BYD, Tesla, and Leapmotor, for example. Rising exports help backstop the financial health of the industry's leading players, though it is unclear if the growth in China's NEV exports can be sustained at the present rates.

Policy remains broadly supportive of NEV adoption, albeit with caveats. NEVs are now considered mainstream as opposed to a strategic industry, but policy makers clearly intend that NEVs remain a mainstay for economic development and technology upgrading. The broad policy trajectory aims to gradually scale back subsidies and incentives such as the tax exemption and trade-in policies that supported sales in 2025, while continuing to use these incentives to guide the industry towards higher-quality product offerings – emphasizing BEVs, longer-range PHEVs, and better cold weather performance. China's NEV adoption targets remain modest, perhaps aiming to slow 'involution' and blind pursuit of scale over quality. This absence of aggressive headline goals sets China apart from Europe or the UK, where policy makers had initially set dramatic goals for phasing out ICE cars, only to retreat.

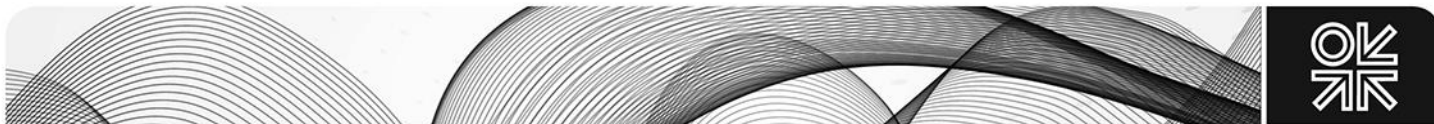
The maturing of China's NEV market in some respects may facilitate forecasting of China's future gasoline demand. Uncertainty should narrow as China sees slower and steadier growth in NEV market share, and



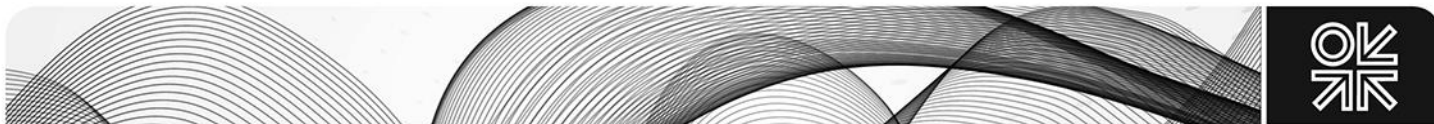
more sales of BEVs (which consume no gasoline) relative to PHEVs. The plateau in China's ICE vehicle stock, and overall stabilization of annual vehicle sales, also suggests that vehicle retirement rates are becoming more predictable.

At the time of publication oil and gas supply disruptions due to the crisis in Iran were just beginning. Although China is a major oil importing country, and NEVs were originally promoted in part as an energy security strategy, the energy security aspect of NEVs seems to have become less important as a policy theme even as the economic importance of NEVs has grown. As yet, there is no sign that China's energy security concerns will lead to significant additional support for NEVs. If anything, the near-term impact of Iran is likely to raise prices of NEV inputs such as plastics, specialty chemicals and aluminium. The 15th Five-Year Plan outline released in early March 2026 alludes to NEVs only briefly, calling for an increase in the proportion of NEVs in transportation and freight.

Even in a maturing industry, surprises are inevitable. Trade wars and critical minerals supplies have dogged China's NEV industry over the past two years, even as domestic policy trends remained consistent and gradual. Despite the Dual Carbon announcement of 2020, the astonishing success of China's industrial policies in the NEV sector, and the ongoing view of NEVs as a national development strategy, since at least the start of this decade the government has not deployed any stimulus or policy target 'bazookas' to help the domestic NEV industry – nor does it seem likely to do so. Instead, market forces, technology advancements and external trade policies will remain in the driver's seat.



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